

The Analysis of Macroeconomic Variables and Internal Factors Influence Islamic Rural Bank Financing: The Case of Indonesia

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ABSTRACT

The existence of microfinance institution acts as financial intermediary or a financial intermediary that the main function of microfinance institution to collecting funds from those excessive funds to those who need funds, it is expected the country's economy could run smoothly. Besides, the economic growth of a country is also influenced by the productive of small and micro entrepreneurs (SMEs) sectors but some of them cannot be accessed by conventional banks. This research aims to know the determinants of Islamic rural banking financing in Indonesia after 2008 global crisis period 2009.1-2014.12. The analysis method used in this research is Error Correction Model (ECM), CUSUM and CUSUMQ.

The results showed that the variable Third Party Funds (DPK) and NPF are significantly influences Islamic rural banking financing both in the short run and long run. While Return on Asset (ROA) and Equivalent rate are significantly influence. Macroeconomic variables, both inflation and Exchange rate are are significantly influences in the short and long run Islamic rural financing.

Keywords: Islamic rural bank, Error Correction Model, SME

1. Introduction

The role of financial institutions is very important to encourage economic growth, without exception of microfinance institutions. The existence of microfinance institution acts as financial intermediary or a financial intermediary that the main function of microfinance institution to collecting funds from those excessive funds to those who need funds, it is expected the country's economy could run smoothly. Besides, the economic growth of a country is also influenced by the productive of small and micro entrepreneurs (SMEs) sectors but some of them cannot be accessed by conventional banks. The development of the SMEs sector can be helped by the microfinance institutions which has a function to distribute funds into productive sector.

In this case, the microfinance institution is rural Islamic banks (BPRS), because there has been a lot of Islamic rural banks in a rural environment. Moreover, Islamic rural banks have been famous in rural communities, so that both parties have as a business partner.

The growth of Islamic rural bank can be enhanced with the support of the banking variables and macro-economic factors.

Table 1: The growth of Islamic rural bank behavior and Macroeconomic Variable (%)

Indicator	Year			
	2009	2010	2011	2012
Depositor Fund (DPK)	0.725	2.819	1.970	3.156
Retrun on Asset	3.58	3.49	2.67	2.64
NPF	7.03	6.50	7.05	6.15
Profit and Loss Sharing	12.30	11.61	11.72	6.27
Inflation	2.78	6.96	3.79	4.30
Exchange rate	9.15	9.11	9.11	9.17

Source: Indonesian Banking Statistics, 2014

Table above shows the performance of bank financial performance. In this case the most important factor is the growth of third party funds (DPK), the number of third-party in islamic rural bank from 2009 is increase by 0.725 to 3,156 in 2012 (the Indonesian Banking Statistics, Dec. 2012).

Because of the biggest funds used in banking operations are public fund. Banks use the equivalent rate to attract customers putting their funds into the bank so that the third-party fund can increase, if the bank receives a huge fund so that the market share will increase. The increasing of market share can increase financing Islamic rural bank performances. The increasing of third-party fund is also in line with the fluctuation of equivalent rate value of 12.30 in 2009 and 11.61 in 2010, it means that there is increasing by 11.72. Value equivalent rate in 2009 had the highest value compared to the value in 2010 and 2011; it caused bank needs the trust of people to saving their money in banks so that they give high value equivalent rate to attract customers in order to save money in their bank (Indonesian Banking statistics, Dec. 2012).

Beside, NPF value of the post-crisis in 2009 has been decrease by 7.30 in 2009, 6.50 in 2010 and 6.11 in 2011. It shows the non-performing financing in a better condition after economic crisis in 2008. Low of non-performing financing can increase the confidence of the Islamic rural banks to distribute its financing, so that that market discipline into distribution of funding will support the growth of financing itself and improve the profitability of the Islamic rural bank (www.bi.go.id).

Based on Islamic Banking Development Report (LPPS) in 2009, the growth of Islamic bank assets has been slowed in 2009, despite the all of Islamic bank asset tends positive. Slowdown of asset growth affected by the condition of real sector such as the persistence of the national economic downturn, customer's purchasing power has not fully recovered the high economic costs impacts on their business expansion restriction and reduction of consumption. However,

the slowdown in the Islamic banking industry is relatively minor compared with the slowdown in the national financial industry in general.

Based on the explanation above, the writer had the idea to examine the growth of Islamic rural bank financing in 2009 because it has begun to recover the economy in Indonesia after the 2008 crisis and it is also used as a reference standard economic growth in Indonesia that is represented by the growth of Islamic financing in Indonesia, as well as analyze the factors in the bank that may affect the fluctuation of Islamic bank financing in Indonesia.

2. Theoretical Framework

Islamic Rural bank (BPRS) as one of the financial institutions of Islamic banking, which is the pattern of operations follows the principles of sharia or Islamic Muamalat. Implementation of BPR conducting business based on sharia principles in turn governed by Decree of the Director of Bank Indonesia No. 32/36 / KEP / DIR / 1999 on 12 May 1999 of the Rural Bank based on Sharia principles. In this case, technically sharia BPR can be interpreted as a financial institution as a conventional BPR, the operation using the principles of sharia (Sudarsono, 2008: 90).

With the development of Islamic Rural bank (BPRSyariah) in Indonesia, studies related to the Rural Bank Sharia, both in terms of financing and its efficiency also needs to be discussed. Therefore, most researchers still focus the discussion on conventional bank financing products. Several studies conducted in Indonesia, for example Sri Haryati (2009) which investigated the growth of bank credit in Indonesia in 2004-2008. Variables used in this research is the growth of excess liquidity, deposit growth, the growth of loans / deposits received, equity growth, Indonesia bank rate, inflation rate and the foreign exchange rate. The method used is multiple linear regression analysis. The results showed that each variable in the variable national banks deposit growth and loan growth received significant positive effect on credit growth, while the foreign banks-a mixture of all the growth variables funding sources had significant influence on the growth of credit. Macroeconomic variables on national banks all have significant influence on the growth of credit; BI interest rate and exchange rate have a significant negative effect, inflation has a significant positive effect.

Pratama (2010) examined the factors affecting bank lending policies (Study on Commercial Banks in Indonesia Period 2005-2009). The variables used were DPK, CAR, NPL, and the interest rate of Bank Indonesia Certificates (SBI). The analysis technique used is multiple linear regression. Based on this study showed that the DPK positive and significant impact on bank lending. CAR and NPL significant negative effect on bank lending. While the interest rate of Bank Indonesia Certificates (SBI) and not significant positive effect on bank lending.

As performed by Utari, Arimurti and Kurniati (2012) examine the optimal real credit growth in Indonesia. Variables used in this research are deposits, NPL, real GDP, inflation and lending rates in Indonesia. The method used in this study is a *Markov Switching (MS) MS Univariate and Vector Error Correction Model*. The results showed that there is a cointegration relationship between real credit to the real GDP, inflation and lending rates. In the long term, demand for loans was positively affected by economic activity and negatively by the credit interest rates and inflation. While in the short term loan growth affected the NPL ratio and third party funds (DPK).

In addition to research conducted in Indonesia, the research on financing or bank credit also performed in India as done by Vighneswara Swamy (2012) who examined the bank credit in India during the pre and post global crisis in 2008. The variables used were aggregate Deposits, Investments, money at call and short notice, borrowings, bank nifty, lending rates, Cash-Deposit Ratio, Investment-Deposit Ratio, credit-deposit ratio. Methods of data analysis used in this study is a method that uses a model JJ Vector Auto Regressive (VAR) and estimates based on the method Maximum likelihood (ML). The results showed that the studied variables affect the bank credit.

Islamic Rural Bank, as conventional banks in general, have the same internal factors albeit there are differences in principle. Thus, the above studies can be concluded that there are some internal variables banks and macroeconomic variables that affect the financing in the bank, in this case the rural banks of Sharia, namely: Third Party Funds, return on assets (ROA), Non-Performing Financing (NPF), equivalent rate of the bank's internal variables as well as inflation, exchange rate of macroeconomic variables.

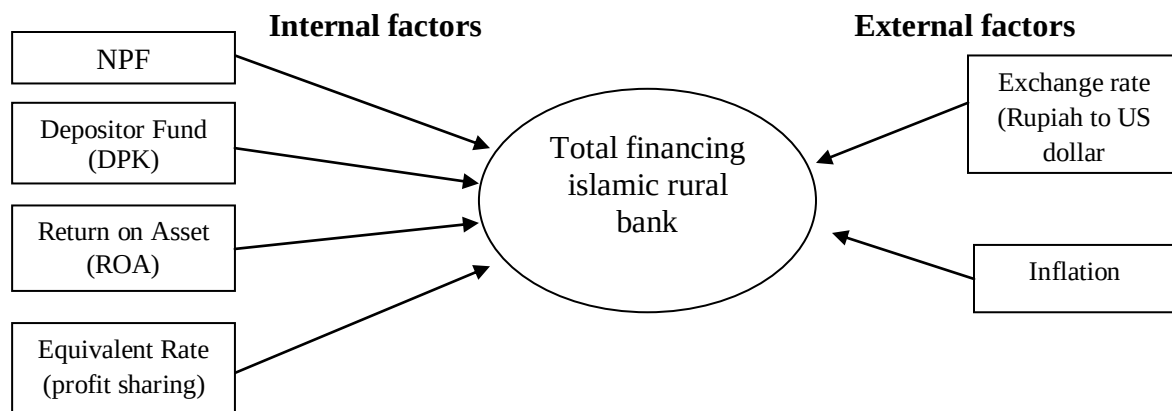


Figure 1 : Research Framework

3. Data and Research Methodology

The data used in this research is secondary data. Secondary data such as time series (time series) as well as the monthly BPR Syariah independent variable data that are external to the period January 2008 - December 2014. The selection of these data in consideration of the availability of the data after the 2008 global crisis as well as the number of observations as much as 72 (monthly data) is deemed to have representative. The data used is the level of funding channeled, Third Party Fund (DPK), Return on Assets (ROA), Non Performing Financing (NPF), equivalent rate, exchange rate and inflation. Sources of data obtained from Statistics data BPR Syariah Indonesia Economic Monetary Statistics, and the Consumer Price Index / inflation that collected from January 2009 until December 2014 published by Bank Indonesia.

4.1 Error Correction Model (ECM)

To examine the effect of growth in some variables such as deposits, ROA, NPF, Inflation, equivalent rate, the exchange rate toward the growth of Islamic rural bank financing in the long term and short term use analysis Error Correction Model (ECM).

Error Correction Model (ECM) used to analyze time series caused by the its ability analyzing economic phenomenon in long-term and short-term (Insukindro, 1999). First, those variables are analyzed using descriptive statistic before error correction model (ECM) applied, followed by stationary test data, co-integration test, and classical assumption test.

i. Unit Root Test

Unit root test is test to find out whether or not the indices non-stationary. Stationary of a series is an important phenomenon because it can influence its behavior. If x and y series are non stationary random processes (integrated) then modelling the x and y relationship as a simple OLS relationship which is only generate a spurious regression.

$$Y_t = \alpha + \beta X_t + \varepsilon_t$$

Time series stationarity is the statistical characteristics of a series such as its mean and variance over time. If both are constant over time, then the series is said to be a stationary process (i.e. is not a random walk/has no unit root). Differencing a series using differencing operations produces other sets of observations such as the first-differenced values, the second-differenced values and so on.

<i>X level</i>	X_t
<i>X first-differenced value</i>	$X_t - X_{t-1}$
<i>X second-differenced value</i>	$X_t - X_{t-2}$

If a series is stationary without any differencing it is designated as I (0), or integrated of order 0. On the other hand, a series that has stationary first differences is designated I (1), integrated of order one. Augmented Dickey-Fuller and Phillip-Perron test is tool to conduct stationary test of the variables.

ii. Cointegration Testing

The procedures uses two tests to determine the number of cointegration vectors: the maximum eigenvalue test and trace test. The maximum eigenvalue statistic tests the null hypothesis of r cointegrating relation against the alternative of $r+1$ cointegrating relationship for $r = 0, 1, 2, \dots, n-1$ this test statistics are computed as:

$$L_{\max}(r/n + 1) = -T^* \log(1 - \lambda)$$

Where λ is the maximum eigenvalue and T is the sample size. Trace statistics investigates the null hypothesis of r cointegrating relationship against the alternative of n cointegrating relations, where n is the number of variables in the system for $r = 0, 1, 2, \dots, n-1$.

If cointegration found between variables, then the standard causality test (Granger, 1969) can be applied. If there is cointegration, then causality can be examined using the vector error-correction model (VECM) (Granger, 1988) as below:

$$\Delta y_t = \alpha_0 + \sum_{i=1}^n \alpha_1 i \Delta y_{t-i} - 1 + \sum_{i=1}^n \alpha_3 \Delta EC_{t-i} + \varepsilon_t$$

The short term causality of the VECM can be tested using the wald test (χ^2), and the long-term causality tested by examining whether the error-correction coefficient α_3 in the model is significantly differ from zero or not.

iii. Dynamic Model ECM

If the variables is not stationary in level but it is stationary in first difference and also cointegrated, so those variables have relationship or balance in long-term. However, it is may not necessarily be at the point of balance in short-term. The imbalance is usually found by economic actors, it is caused what is desired by economic actors are not necessarily the same as what actually happened. Because of these differences, it is necessary for adjustment (adjustment). Error correction model (Error Correction Model / ECM) estimated by including variable adjustments to correct for imbalances (Widarjono, 2013: 320).

Method of Error Correction Model (ECM) based on Error Correction Model Engle-Granger (ECM-EG) that developed by Engle and Granger. ECM model is developed by Engle and Granger which has been known as two-step model of Engle-Granger. According to their opinions, if the variable Y and X are not stationary but cointegrated, then the short-term relationship between the two variables can be written by the following equation (Widarjono, 2013: 322):

$$\Delta Y = \alpha_0 + \alpha_1 \Delta X_t + \alpha_2 ECT_t + \varepsilon_t$$

where: $ECT_t = (Y_{t-1} - \beta_0 - \beta_1 X_{t-1})$

In this case, coefficient coefficient α_1 is short-term coefficient, while β_1 is long-term coefficient. Imbalance correction coefficients α_2 in the form of absolute values explain the speed of adjustment needed to reach the equilibrium value. Based on equation ECM E-G above, the equation can be derived as follows:

$$\Delta FNC_t = \alpha_0 + \alpha_1 \Delta PDPK_t + \alpha_2 \Delta ROA_t - \alpha_3 \Delta NPF_t + \alpha_4 \Delta INF_t + \alpha_5 \Delta EQVR_t + \alpha_6 kurs + \alpha_7 ECT$$

$$ECT = (PPYD_{t-1} - \beta_0 - \beta_1 PDPK_{t-1} + \beta_2 ROA_{t-1} + \beta_3 NPF_{t-1} + \beta_4 EQVR_{t-1} + \beta_5 Inflasi_{t-1} + \beta_6 kurs_{t-1})$$

Keterangan:

FNC_t : The growth of financing on t-period

α_0 : Constant

$\alpha_1, \alpha_2, \alpha_3, \alpha_4, \alpha_5, \alpha_6$	: Short run coefficient
Δ	: <i>First Difference</i>
$PDPK_t$	: The growth of third-party fund on t-period
ROA_t	: <i>Return On Asset</i> on t-period
NPF_t	: <i>Non Performing Financing</i> on t-period
$EQVR_t$	: Equivalent rate on t-period
INF_t	: Inflasi on t-period
$Kurs$	: <i>Exchange rate</i>
ECT	: Error correction or residual lag 1 of equivalent
ε_t	: Standart Error on t-period

4. Results and Discussion

4.1 Error Correction Model (ECM)

Testing the unit root is using Augmented Dicky-Fuller (ADF), which aims to see whether the time series data is stationary or not with comparing statistical Mac Kinnon Critical value at $\alpha = 1$ percent, 5 percent and 10 percent. If the current level of data tested is not stationary, it will be followed by a integration degree test at first difference. The following table result of unit root test at level.

Table 2: Stationary Test Result Level

Variables	T-Statistic	Prob*	Critical Value of Mackinnon 5persen
LN_Financ	-2.449.792	0.1322	-2.902.953
LN_PDPK	-1.251.670	0.6475	-2.902.953
ROA	-1.600.731	0.4770	-2.902.953
NPF	-2.873.127	0.0536	-2.902.953
Inflation	-2.855.500	0.0559	-2.903.566
PLS	-2.825.242	0.0598	-2.902.953
LN_Exrate	-0.231533	0.9287	-2.902.953

Suorce: Data Processed

Stationery test results above shows that all the variables are not stationary in level because it has ADF value is smaller than the critical value of Mac Kinnon. All variables are not stationary at level caused by they contains unit root, it is necessary to test integration degree test of how these variables will be stationary.

i. Unit root test

Data which is not stationary retested on the integration degree that aims to make the data stationary. Here is presented test results on integration degree in first differences.

Tabel 3: Integration degree test result on first difference

Variables	T-Statistic	Prob*	Critical Value of Mackinnon 5 persen
LN_Pembiayaan	-6.493.766	0.0000	-2.903.566
LN_DPK	-2.987.521	0.0411	-2.903.566
ROA	-9.781.826	0.0000	-2.903.566
NPF	-1.095.137	0.0001	-2.903.566
Inflasi	-4.229.806	0.0012	-2.903.566
EQ Rate	-1.048.167	0.0001	-2.903.566
LN_Kurs	-7.310.172	0.0000	-2.903.566

Source: Data Processed

The table above shows that all variables are stationary at first differences. It can be shown of ADF value (financing, third-party fund, return on asset (ROA), non-performing financing (NPF), equivalent rate, inflation, exchange rate) is bigger than critical value of Mac Kinnon. These data shows probability value of each variable smaller than 1 percent, 5 percent and 10 percent. In the ECM methods, the requirements that must be fulfilled are all variables must be in the same degree. By testing of integration degree test above means that all the requirements has been fulfilled at first difference.

ii. Cointegration testing

Once the variable has been stationary in the first differences, then we can conduct cointegration test to know whether there is long-term relationship among all variables or not. This study is using Johansen cointegration test.

If the trace statistic value and max-eigen value statistic is greater than the critical value 0.05, it means that it has cointegration among all variables. The following table test results kointegerasi Johansen.

Tabel 4: Cointegration Test Result

Hypothesized			Trace	0.05 Critical	
Variable	No. Of CE(s)	Eigenvalue	Statistic	Value	Prob.**
LN_PDPK	None*	0.290139	2.641.522	1.549.471	0.0008
	At Most 1*	0.044741	3.112.570	3.841.466	0.0777
ROA	None*	0.226354	2.423.191	1.549.471	0.0019
	At Most 1*	0.161442	9.859.990	3.841.466	0.0017
NPF	None*	0.194573	1.977.972	1.549.471	0.0106
	At Most 1*	0.079934	5.498.459	3.841.466	0.0190
Inflasi	None*	0.285082	2.584.028	1.549.471	0.0010

Eq Rate	At Most 1*	0.118249	7.047.376	3.841.466	0.0079
	None*	0.224604	2.152.819	1.549.471	0.0054
LN_Kurs	At Most 1*	0.069286	4.738.990	3.841.466	0.0317
	None*	0.291674	2.943.479	1.549.471	0.0002
	At Most 1*	0.078489	5.640.067	3.841.466	0.0175
Maximum Eigenvalue Statistic					
0.05					
Variable	hypothesized No. Of CE(s)	Eigenvalue	Trace Statistic	Critical Value	Prob.**
LN_PDPK	None*	0.290139	2.330.265	1.426.460	0.0015
	At Most 1*	0.044741	3.112.570	3.841.466	0.0777
ROA	None*	0.226354	1.437.192	1.426.460	0.0481
	At Most 1*	0.161442	9.859.990	3.841.466	0.0017
NPF	None*	0.194573	1.428.126	1.4.26460	0.0497
	At Most 1*	0.079934	5.498.459	3.841.466	0.0190
Inflasi	None*	0.285082	1.879.290	1.426.460	0.0090
	At Most 1*	0.118249	7.047.376	3.841.466	0.0079
Eq Rate	None*	0.224604	1.678.920	1.426.460	0.0195
	At Most 1*	0.069286	4.738.990	3.841.466	0.0295
LN_Kurs	None*	0.291674	2.379.472	1.426.460	0.0012
	At Most 1*	0.078489	5.640.067	3.841.466	0.0175

Source: Data Processed

Based on the test results of cointegration Johansen above, it can be seen from the test trace statistic and max-eigenvalues statistic indicate the existence of cointegration at significance level $\alpha = 5$ percent, so it can be concluded that all variables namely third-party fund, return on asset (ROA), non-performing financing (NPF), Inflation, Equivalent Rate and exchange rate, they have long term effects on Islamic rural bank financing.

This test shows that all variables cointegrated which means have long-term relationship. Here are the results of long-term estimates:

Tabel 5: Error Correction Model Estimation Result

Variable	Coefficient	Std. Error	t-Statistic	Prob.
C	2,164423	0,230856	9,375636	0,0000
D(LN_DPK)	1,038631	0,119543	8,688339	0,0000
D(ROA)	-1,16665	0,927158	-1,258307	0,2134
D(NPF)	3,971966	0,523937	7,581003	0,0000
D(INFLASI)	0,303697	0,266499	1,139577	0,2592
D(PLS)	0,170352	0,312004	0,545994	0,5872
D(LN_KURS)	-0,190979	0,076913	-2,483055	0,016
LN_DPK(-1)	0,997165	0,009291	107,3304	0,0000
ROA(-1)	-0,67345	0,528717	-1,273743	0,2079
NPF(-1)	3,773358	0,436094	8,652624	0,0000
INFLASI(-1)	0,246909	0,120658	2,046354	0,0453

PLS(-1)	0,116496	0,322668	0,36104	0,7194
LN_KURS(-1)	-0,236852	0,030777	-7,695763	0,0000
ECT	0,992607	0,061981	16,01479	0,0000
R-squared	0,999254	Mean dependent var	14,80467	
Adjusted R-squared	0,999084	S.D. dependent var	0,431541	
S.E. of regression	0,013058	Akaike info criterion	-5,66408	
Sum squared resid	0,009719	Schwarz criterion	-5,21792	
Log likelihood	215,0749	Hannan-Quinn criter.	-5,48666	
F-statistic	5876,451	Durbin-Watson stat	1,678532	
Prob(F-statistic)	0,0000			

Source: Data Processed

The estimation equation in the long term and short term can be obtained that the coefficient of determination adjusted (Adjusted R²) of 0.999084, it means the ability of third-party fund, return on asset (ROA), non-performing financing (NPF), Inflation, Equivalent Rate and exchange rate to explain the changing of Islamic rural bank financing of 99.9084 per cent while the remaining 0.016 percent influenced by other factors outside model. Generally, the result of parameter significant test known that the F-statistic of 5876.451 with a probability value of F-statistic $0.000000 < \alpha$ (level of significance) 1 percent. This shows that third-party fund, return on asset (ROA), non-performing financing (NPF), Inflation, Equivalent Rate and exchange rate are significantly on Islamic rural bank financing.

Based on the estimation results can be seen that the coefficient on the variable Error Correction Term (ECT) is significant at the 1 percent level of significance and has a positive sign and is therefore said that the model ECM can be used to estimate the model in this study. Or in other words the specification of the model used in this study are valid.

Based on estimation result, it can be created mathematic equation as follows:

$$\text{FNC} = 2,164423 + 1,038631 \text{ LN_DPK} + 3,971966 \text{ NPF} - 0,190979 \text{ LN_KURS} + 0,997165 \text{ LN_DPK}(-1) + 3,773358 \text{ NPF}(-1) + 0,246909 \text{ INFLASI}(-1) - 0,236852 \text{ LN_KURS}(-1) + 0,992607 \text{ ECT}$$

Interpretation of individual regression coefficients (t test) long term are as follows:

Third-party fund variable effect on the growth of Islamic rural bank with statistical t-test, it shows that coefficient value positively of .997165 means that if the variable in deposits increased by 1 percent, there will be an increase of 0.997 to variable financing with a value of 107.3304 and probability value of 0.0000 which is significant at $\alpha = 1$ percent. This suggests that in the long run third-party fund variable has a significant positive effect on the changing of Islamic rural bank financing.

The effect of return on asset (ROA) toward Islamic rural bank financing by t-statistic test shows that the coefficient negatively of 0.67345, t-statistic value negatively 1,273743 and probability

value of 0.2079 which is not significant $\alpha = 1$ percent, 5 percent and 10 percent. It shows that ROA does not have significant effect in changing on Islamic rural bank financing.

The effect of non-performing financing toward Islamic rural bank financing by t-statistic test shows that the coefficient positively of 3.773358, means that if the variable of non-performing financing increased by 1 percent, there will be an increase of 3.773 to variable financing with a statistic value of 8.652624 and probability value of 0.0000 which is significant at $\alpha = 1$ percent. This suggests that in the long run, non-performing financing variable has a significant positive effect on the changing of Islamic rural bank financing.

The effect of inflation toward Islamic rural bank financing by t-statistic test shows that the coefficient positively of 0.246909, means that if the variable of inflation increased by 1 percent, there will be an increase of 0.246 percent to variable financing with a statistic value of 2.046354 and probability value of 0.0000 which is significant at $\alpha = 5$ percent. This suggests that in the long run, inflation variable has a significant positive effect on the changing of Islamic rural bank financing.

The effect of Equivalent rate toward Islamic rural bank financing by t-statistic test shows that the coefficient negatively of 0.116496, t-statistic value 0.36104 and probability value of 0.7194 which is not significant $\alpha = 1$ percent, 5 percent and 10 percent. It shows that equivalent rate does not have significant effect in changing on Islamic rural bank financing.

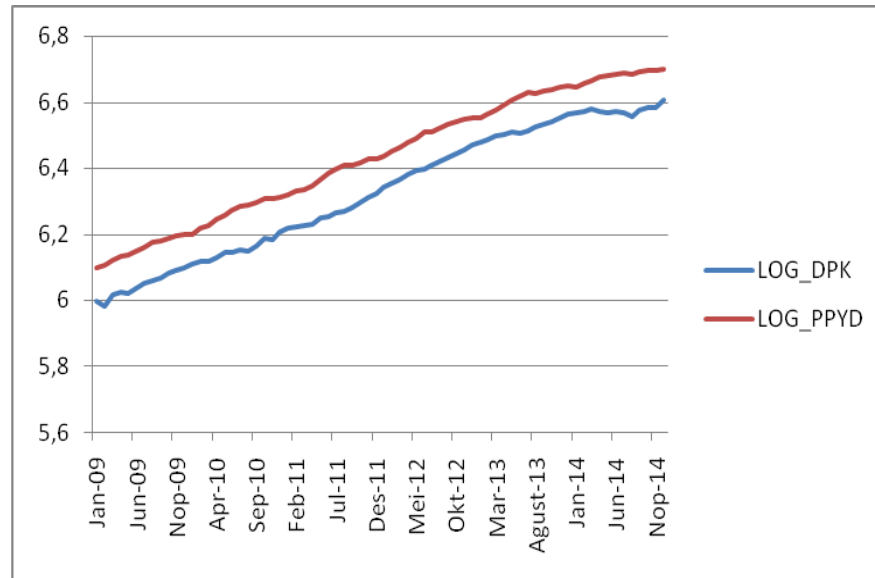
The effect of exchange rate toward Islamic rural bank financing by t-statistic test shows that the coefficient negatively of 0.236852, means that if the variable of exchange rate increased by 1 percent, there will be a decrease of 0.236 percent to variable financing with a statistic value of 7.695763 and probability value of 0.0000 which is significant at $\alpha = 1$ percent. This suggests that in the long run, exchange rate variable has a significant effect on the changing of Islamic rural bank financing.

4.2 Analysis

In this research, first proposed the hypothesis that growth of third party funds suspected to have a positive influence on the growth of sharia BPR financing. Based on the statistical test, the coefficient value for the variable DPK amounted to 1.001163 in the long term is positive and significant at the 1 percent level. In the short term, the value of 0.223736 DPK variable coefficient is positive and significant at the 5 percent level. The following data movement PDPK and syariah BPR financing growth in the observation period of the study:

Grafik 4.1

Pergerakan data pertumbuhan pembiayaan dan PDPK



Based on the above, it is known that the movement of third-party funds move more peaked. Movement move as the growing increase in deposits syariah BPR financing. On average DPK obtained reach the figure of 6.32. While the highest was 6.39 in deposits that occurred in June 2012.

Results if the data in this study stated that the first hypothesis is accepted, the deposit growth and a significant positive effect on the growth of Islamic banking financing.

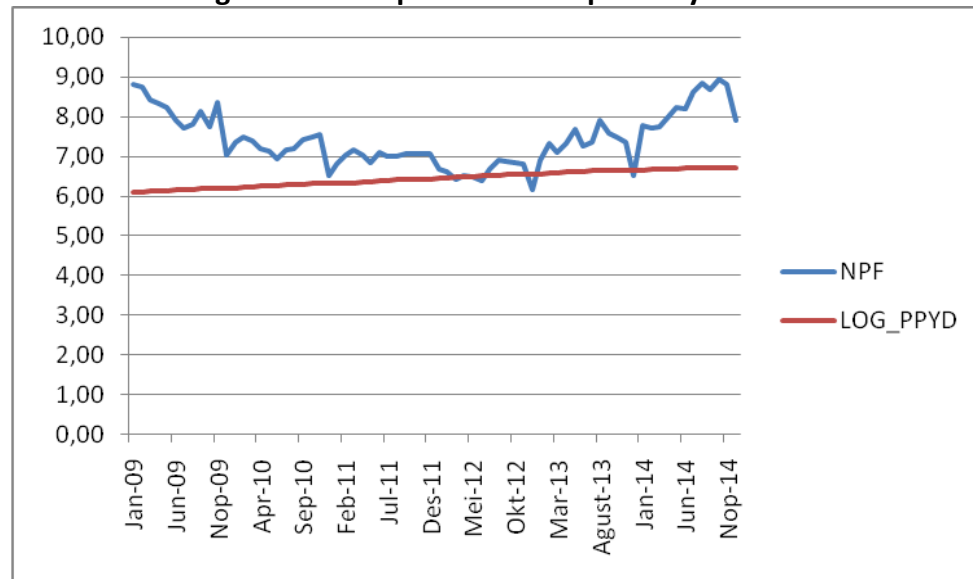
Third party funds are the source of the greatest in the process of distribution of funds from the public and to society (intermediary). The positive influence of sharia BPR DPK to finance long-term and short-term shows that the BPR sharia in Indonesia perform its function both as a financial intermediary.

DPK has an important role in financial institutions, it is because the amount of financing depends on the amount of funds available. (Muhammad 2005: 52). When financing submitted by the public is getting higher, it would be in line with the increase in positive surplus in the form of income that will be earned by the SRB itself. To that end, the BPR needs to implement strategies effective marketing to attract people who have excess funds to be able to save his RBs.

Financing Bank Rakyat Syariah is different from conventional financial institutions that give interest to the community. Syariah BPR strategy in attracting public attention not only limited rewards alone, but sharia BPR can also emphasize the religious value to customers, particularly to the citizens of Muslim-majority Indonesia. Dengan demikian, hasil penelitian DPK yang berpengaruh terhadap pertumbuhan pembiayaan BPR syariah mendukung asumsi yang telah dipaparkan oleh Pratama (2010) dan Sri Haryati (2009).

The second hypothesis in this study stated that Non Performing Financing negatively affect the growth of sharia BPR financing in Indonesia. Based on the statistical test, the coefficient value for the variable NPF amounting to 1.601905 in the long term is positive and significant at the 1 percent level. In the short term, the value of 0.071225 NPF variable coefficient is positive and not significant at 1 percent, 5 percent, or 10persen. The following data movement NPF and syariah BPR financing growth in the observation period of the study:

Grafik 4.2
Pergerakan data pertumbuhan pembiayaan dan NPF



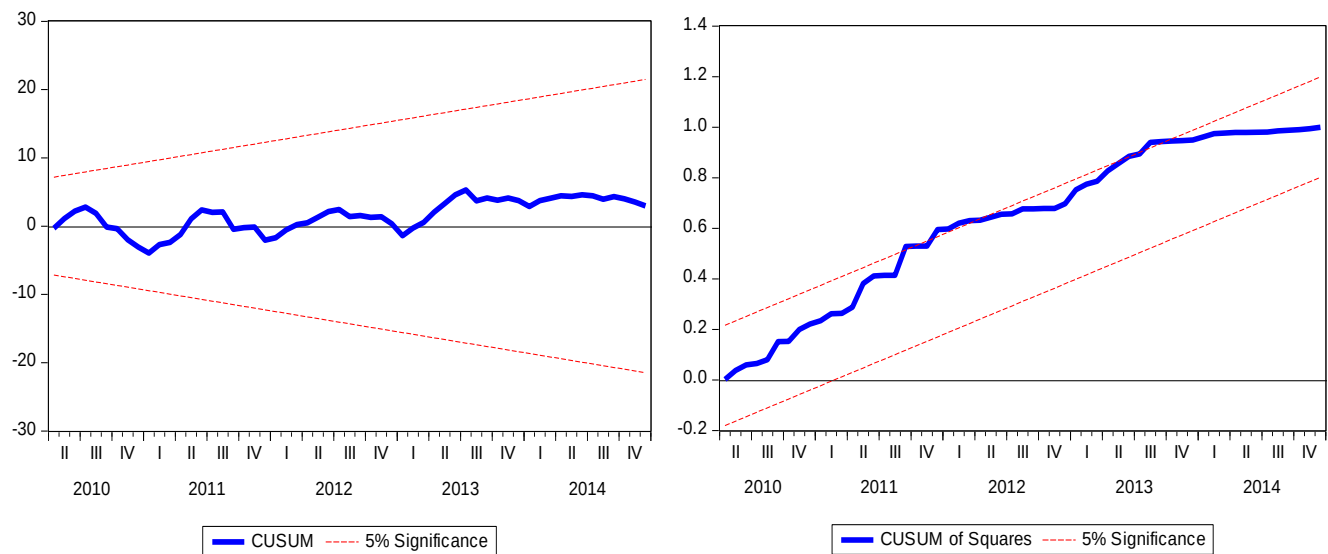
Based on the graph above, pergerakan NPF value in line with the growth of BPR Syariah financing. NPF is a funding ratio of nonperforming loans to total financing. BPR syariah should minimize NPF due to high levels of financing problems that will burden BPR Syariah with an obligation to deliver productive assets Allowance (PPAP).

On the hypothesis, NPF negative effect on growth financing. But in this study, the NPF in the long run have a positive influence on financing problems. While in the short term, NPF positive effect but not significant. Thus the second hypothesis in this study was rejected.

NPF showed poor quality of financing. Bank Indonesia Regulation No. 13/14 / PBI / 2011, article 19, the classification of financing problems stated as a general reserve PPAP set of at least 0.5 percent of all Earning Assets classified Fluent, 10 percent of the assets classified as Substandard minus collateral, 50 percent of assets classified as doubtful after deducting the value of collateral, and 100 percent of the assets classified as loss after deducting the value of collateral.

Financing problems can harm the BPR due installments is not smooth. Both commercial banks and bank financing of people make every effort to minimize the ratio of financing problems. As already mentioned above, that the NPF positive influence on the growth of sharia BPR financing in the long term. It can be assumed when the rising value of financing problems, many customers or partners propose a new financing to cover financing jammed. So with the filing of financing, customers will be able to resume its business but also can emperlancar more installment payment in advance. But keep in mind, this condition should not always be assumed to be a boon for the BPR for their submission of new financing and merely to reach the target only. The smaller the ratio of financing problems a commercial bank or bank financing of the people, the better the quality as well the profit financial institutions.

CUSUM and CUSUMQ of testing can be seen that the Islamic financing in rural Indonesia are relatively stable. This is indicated by a blue color that is not out of the boundary line; both from the top and bottom:



5. Conclusion

From the results of this study can be seen that the variable Third Party Funds (DPK) in Indonesia had a significant influence on the BPRS financing in the long term and short term. The positive influence of DPK to finance long-term and short-term shows that the BPR sharia in Indonesia perform its function both as a financial intermediary.

In this research showed that ROA does not have a significant influence on the BPRS financing in Indonesia in the long term and short term. This study showed that variables NPF positive effect on the long term and short term. This means that the increase in NPF will lead to increasing financing growth, because the NPF increase the amount of overall financing issued by banks.

In this study also, equivalent variable rate has no significant influence on the BPRS financing in the long term and short term.

Macroeconomic variables, inflation has a significant effect on the BPRS financing over the long term, but in the short term inflation variable has no significant effect. Also, the variable exchange rate has a significant effect on the BPRS financing over the long term and short term.

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